

_____, Inc.

MEMORANDUM OF TERMS

This Memorandum of Terms represents only the current thinking of the parties with respect to certain of the major issues relating to the proposed private offering and does not constitute a legally binding agreement. This Memorandum of Terms does not constitute an offer to sell or a solicitation of an offer to buy securities in any state where the offer or sale is not permitted.

THE OFFERING

Issuer: _____, Inc., a Delaware corporation (the “**Company**”)

Securities: Series A Preferred Stock (the “**Preferred**”)

Valuation of the Company: \$1,200,000 pre-money (including employee option pool)

Amount of the offering: \$400,000

Number of shares/

Price per share: Based on capitalization table attached as Exhibit A

TERMS OF THE PREFERRED

Liquidation preference: In the event of a liquidation, dissolution or winding up of the Company, the Preferred will have the right to receive the original purchase price prior to any distribution to the common stock. The remaining assets will be distributed *pro rata* to the holders of common stock and preferred stock (on an as-converted basis). A sale of all or substantially all of the Company’s assets or a merger or consolidation of the Company with any other company will be treated as a liquidation of the Company.

Conversion: The Preferred may be converted at any time, at the option of the holder, into shares of common stock. The conversion rate will initially be 1:1, subject to customary adjustments.

Automatic conversion: Each share of Preferred will automatically convert into common stock, at the then applicable conversion rate, upon (i) the closing of a firmly underwritten public offering of common stock, or (ii) the consent of the holders of at least a majority of the then outstanding shares of Preferred.

General voting rights: Each share of Preferred will have the right to a number of votes equal to the number of shares of common stock issuable upon conversion of each such share of Preferred. The Preferred will vote

with the common stock on all matters except as specifically provided herein or as otherwise required by law.

Voting covenants:

With respect to all matters presented to the Company's stockholders (a "**Stockholder Matter**"), each Key Holder who is not then providing services to the Company as an officer or employee (a "**Non-Employee Key Holder**") shall vote all of his Key Holder Shares (or shall consent pursuant to an action by written consent of the holders of capital stock of the Company) in the same manner and in the same proportion as shares of such class (with respect to shares of the Company's Common Stock) or series (with respect to shares of the Company's Preferred Stock) that are not held by Non-Employee Key Holders are voted.

Protective provisions:

So long as any of the Preferred is outstanding, consent of the holders of at least 51% of the Preferred will be required for any action that: (i) alters any provision of the certificate of incorporation if it would adversely alter the rights, preferences, privileges or powers of the Preferred; (ii) changes the authorized number of shares of Preferred; or (iii) approves any merger, sale of assets or other corporate reorganization or acquisition.

Redemption Rights:

Unless prohibited by Delaware Law governing distributions to stockholders, the Series A Preferred shall be redeemable at the option of holders of at least []% of the Series A Preferred commencing any time after [five years] at a price equal to the Original Purchase Price [plus all accrued but unpaid dividends]. Redemption shall occur in three equal annual portions. Upon a redemption request from the holders of the required percentage of the Series A Preferred, all Series A Preferred shares shall be redeemed (except for any Series A holders who affirmatively opt-out)

Drag Along:

Holders of Preferred Stock and the Founders [and all future holders of greater than [1]% of Common Stock (assuming conversion of Preferred Stock and whether then held or subject to the exercise of options)] shall be required to enter into an agreement with the Investors that provides that such stockholders will vote their shares in favor of a Deemed Liquidation Event or transaction in which 50% or more of the voting power of the Company is transferred and which is approved by [the Board of Directors] [and the holders of ____% of the outstanding shares of Preferred Stock, on an as-converted basis (the "**Electing Holders**")], so long as the liability of each stockholder in such transaction is several (and not joint) and does not exceed the stockholder's pro rata portion of any claim and the consideration to be paid to the stockholders in such transaction will be allocated as if the

consideration were the proceeds to be distributed to the Company's stockholders in a liquidation under the Company's then-current Certificate of Incorporation.

INVESTOR RIGHTS

Right to maintain proportionate ownership:

Each holder of at least [] shares of Preferred will have a right to purchase its *pro rata* share of any offering of new securities by the Company, subject to customary exceptions. The *pro rata* share will be based on the ratio of (x) the number of shares of Preferred held by such holder (on an as-converted basis) to (y) the Company's fully-diluted capitalization (on an as-converted and as-exercised basis). This right will terminate immediately prior to the Company's initial public offering or five years after the financing.

Antidilution Provisions:

The conversion price of the Series A Preferred will be subject to a weighted-average adjustment to reduce dilution in the event that the Company issues additional equity securities, other than (i) shares or options to purchase shares issued to employees, consultants or directors as approved by the Board, (ii) shares issued for consideration other than cash pursuant to a merger, consolidation, acquisition, or similar business combination approved by the Board; (iii) shares issued pursuant to any equipment loan or leasing arrangement, real property leasing arrangement or debt financing from a bank or similar financial institution approved by the Board; and (iv) other issuances approved by the Required Percentage of the outstanding Series A Preferred from time to time (collectively, "***Excluded Issuances***"). Approval by the Board for any Excluded Issuance must include approval by the Series A Director. The conversion price will also be subject to proportional adjustment for stock splits, stock dividends, combinations, recapitalizations and the like.

Board of Directors:

The size of the Company's Board of Directors shall be set at Closing at 3 persons. The Board shall initially be comprised of _____, as the Company representative, one Director as elected by the investors in this Series A round and a third independent director as mutually agreed upon by the first two Board of Directors.

Information rights:

As soon as practicable, the Company will deliver to each holder of at least [] shares of Preferred, (i) unaudited annual financial statements and (ii) unaudited quarterly financial statements (iii) an annual budget delivered in advance of each fiscal year. The information rights will terminate upon an initial public offering. Each

Investor shall also be entitled to standard inspection and visitation rights.

Dividends:

Pro rata participation in any Common Stock dividends.

Other Matters:

Market stand-off. Holders of Preferred will agree not to effect any transactions with respect to any of the Company's securities within 180 days following the Company's initial public offering, provided that all officers, directors and 1% stockholders of the Company are similarly bound.

EMPLOYEE MATTERS

Employee Pool:

Prior to the Closing, the Company will reserve as the Employee Pool shares of its Common Stock so that the percentage set forth on page one of the Summary of Terms of its fully-diluted capital stock following the issuance of its Series A Preferred is available for future issuances to directors, officers, employees and consultants.

Stock Vesting:

All stock and stock equivalents issued after the Closing to employees, directors, consultants and other service providers will be subject to vesting provisions below unless different vesting is approved by the Board of Directors (including the Series A Director) (the "***Required Approval***"): 25% to vest at the end of the first year following such issuance, with the remaining 75% to vest monthly over the next three years. The repurchase option shall provide that upon termination of the employment of the stockholder, with or without cause, the Company or its assignee (to the extent permissible under applicable securities law qualification) retains the option to repurchase at the lower of cost or the current fair market value any unvested shares held by such stockholder.

The outstanding Common Stock currently held by the Founders will be subject to similar vesting terms provided that the Founders shall be credited with [one year] of vesting as of the Closing, with their remaining unvested shares to vest monthly over the three years following Closing.

In the event of a merger, consolidation, sale of assets or other change of control of the Company and should a Founder or other executive officer be terminated without cause or constructively terminated within one year after such event, such person shall be entitled to one year of additional vesting. Other than the foregoing, there shall be no accelerated vesting except with the Required Approval.

Restrictions on Sales:

The Company's Bylaws shall contain a right of first refusal on all transfers of Common Stock, subject to normal exceptions. If the Company elects not to exercise its right, the Company shall assign its right to the Major Investors [not defined].

***Proprietary Information
and Inventions Agreement***

Each current and former officer, employee and consultant of the Co. shall enter into an acceptable proprietary information and inventions agreement.

Co-Sale Agreement:

The shares of the Company's securities held by the Founders shall be made subject to a co-sale agreement (with certain reasonable exceptions) with the Investors such that the Founders may not sell, transfer or exchange their stock unless each Investor has an opportunity to participate in the sale on a pro-rata basis.

Voting Agreement:

The Investors, the Founders and each current and future holder of stock or options to purchase 1% or more of the vesting shares shall enter a Voting Agreement to elect members of the Board of Directors as provided above. Additionally, the Voting Agreement shall provide that when a Founder leaves the Company, such Founder shall agree to vote his Common Stock or Series A Preferred (or Common Stock acquired on conversion of Series A or Former Series A Preferred) in the same proportion as all other shares are voted in any vote.

Founders Activities:

Each of the Founders and executive officers shall devote 100% of his professional time to the Company. Any other professional activities will require the approval of the Board of Directors.

Drafting:

Company counsel will use NVCA documents as a starting point.

(Signature page follows)

CONFIDENTIAL

This Memorandum of Terms may be executed in counterparts, which together will constitute one document. Facsimile signatures shall have the same legal effect as original signatures.

_____, Inc.

Signature

Print name

Print title

Date

Signature

Print name

Print title

Date

EXHIBIT A

Pre and Post-Financing Capitalization

	<u>Common – Founders</u>
	<u>Common – Employee Stock</u>
Pool	
	<u>Issued</u>
	<u>Unissued</u>
	<u>[Common – Warrants]</u>
	<u>Series A Preferred</u>
	<u>Total</u>
